

Faithful with Money

Essential accounting and bookkeeping principles
for churches, ministries, and mission-driven
organizations.

Powered by **Clariva** — Financial stewardship for the organizations that matter most.

Contents

01 Money in Trust

The entity concept, stewardship principle, the accounting equation

02 The Language of Money

Inflows, outflows, account types, double-entry bookkeeping, cash vs. accrual

03 Organizing Your Finances

Chart of accounts, categories, account numbering, the consistency principle

04 Recording Every Transaction

Source documents, journal entries, bank reconciliation, receipts, import pipeline

05 Designated Funds and Donor Trust

Fund accounting, restricted vs. unrestricted funds, budget allocations, fund transfers

06 Reading Your Numbers

Income statement, balance sheet, cash flow, budget vs. actual, key indicators

07 Your Financial Team

Segregation of duties, roles, access control, audit trails, governance policies

Module 1

MONEY IN TRUST

The First Principle of Financial Stewardship

Before we talk about spreadsheets, software, or even numbers — we need to talk about what money in an organization actually *is*.

When someone gives to a church, a ministry, or an NGO, they are not making a purchase. They are placing their trust in you. The money they give is not yours — it is held in trust, on behalf of a mission, on behalf of a community, often on behalf of God himself.

This is called **stewardship** — and it changes everything about how money should be handled.

The Stewardship Principle

In accounting, the foundational idea is this:

An organization exists separately from the people who run it.

This is called the **Entity Concept** — one of the most important principles in accounting. The organization's money is not the treasurer's money. It is not the pastor's money. It is not the board's money. It belongs to the entity, held for its stated mission.

This has practical consequences:

- Personal and organizational finances must never be mixed
- Every financial decision must be traceable back to the organization's purpose
- Records must be kept as if anyone could ask to see them — because they can

Why Records Are Not Optional

Many mission-driven organizations start with informal systems: a notebook, a shared spreadsheet, a memory. This works — until it doesn't.

Without proper records:

- You cannot tell donors how their gifts were used
- You cannot spot errors, fraud, or misuse

- You cannot plan a budget against real numbers
- You cannot produce a report for your board
- You cannot survive a financial review or audit

The absence of records is not just an inconvenience — it is a failure of stewardship. It breaks trust.

The Accounting Equation

Every financial system in the world — from the simplest church ledger to the most complex corporate ERP — rests on one equation:

$$\text{Assets} = \text{Liabilities} + \text{Equity (Net Assets)}$$

In plain English:

- **Assets** — everything the organization owns or is owed (cash, bank balances, equipment)
- **Liabilities** — everything the organization owes to others (debts, unpaid bills)
- **Equity / Net Assets** — what's left after obligations are met; for non-profits this is called *net assets* or *fund balance*

This equation must always balance. If it doesn't, something is wrong.

What Good Financial Stewardship Looks Like

An organization with healthy financial stewardship can answer these questions at any time:

1. How much money do we have, and where is it?
2. Where did the money come from?
3. Where did the money go?
4. Are we staying within our budget?
5. Can we account for every designated gift?
6. Who approved each transaction?

If any of these questions takes more than a few minutes to answer, the financial system needs work.

Introducing Clariva

Clariva is a financial stewardship platform built specifically for organizations like yours — churches, ministries, NGOs, and mission-driven teams.

It is not generic accounting software repurposed for nonprofits. It was designed from the ground up around the stewardship principle: every feature exists to help you hold money with the integrity it deserves.

In the modules ahead, you will learn the accounting concepts that underpin how Clariva works — and by the end, you will be able to run your organization's finances with confidence, clarity, and accountability.

"Well done, good and faithful servant. You have been faithful with a few things; I will put you in charge of many things."

— *Matthew 25:23*

Module 2

THE LANGUAGE OF MONEY

Why Accounting Has Its Own Vocabulary

Every profession has a language. Accounting is no different. The good news: once you understand a handful of terms, the rest falls into place naturally.

This module gives you the vocabulary you need to understand your organization's finances — and to follow the rest of this course.

Inflows and Outflows

The most basic distinction in any financial system:

Term	What it means	Also called
Inflow	Money coming into the organization	Income, Revenue, Receipt
Outflow	Money leaving the organization	Expense, Payment, Disbursement

For a church or ministry, inflows typically include: tithes and offerings, designated donations, grants, and fundraising proceeds. Outflows typically include: staff salaries, utilities, programme costs, and administrative expenses.

Why it matters: Every transaction is either an inflow or an outflow. Knowing which is which is the starting point of every financial record.

Accounts and Bank Accounts

In accounting, an **account** is a named container that tracks a specific type of financial activity. There are five main types:

Account Type	Tracks	Examples
Asset	What you own or are owed	Bank balances, cash, receivables
Liability	What you owe	Loans, unpaid invoices

Equity / Net Assets	Remaining value after obligations	Fund balance, retained surplus
Income	Money received	Tithes, donations, grants
Expense	Money spent	Salaries, rent, utilities

Debits and Credits

Double-entry bookkeeping is the system used by every serious financial organization in the world. Its core rule:

Every transaction affects at least two accounts. Every debit has a corresponding credit.

Account Type	Debit effect	Credit effect
Asset	Increases (+)	Decreases (–)
Liability	Decreases (–)	Increases (+)
Equity / Net Assets	Decreases (–)	Increases (+)
Income	Decreases (–)	Increases (+)
Expense	Increases (+)	Decreases (–)

Example: A donation of ₦50,000 is received into the church's bank account. Debit: Bank Account (Asset) +₦50,000 / Credit: Tithe Income (Income) +₦50,000. Both sides balance. The equation holds.

Cash Basis vs. Accrual Basis

Cash basis accounting — record when money actually changes hands. Simple, common in small churches and NGOs, matches what you see in your bank statement.

Accrual basis accounting — record when the transaction is *earned or incurred*, even if cash hasn't moved yet. More accurate, required for larger organizations and grant reporting.

Most small and medium mission organizations start on cash basis. Clariva is designed around real cash transactions, making it naturally suited to cash basis accounting, with the structure to grow into accrual reporting.

What Clariva Does With This

When you open Clariva, the **Dashboard** shows your total cash position across all bank accounts. Inflows and Outflows pages list every transaction, tagged to a category. The system enforces that every transaction is accounted for — you do not need to manually calculate debits and credits.

Module 3

ORGANIZING YOUR FINANCES

Structure Is Not Bureaucracy — It Is Stewardship

One of the most common mistakes mission organizations make is recording transactions without structure. Money comes in, money goes out, and it all goes into one undifferentiated pile.

The result: you know how much you have, but you have no idea where it came from or what it was used for. Organizing your finances is what turns raw transactions into meaningful information.

The Chart of Accounts

A **Chart of Accounts (COA)** is the master list of every account your organization uses to classify financial activity. Every transaction gets assigned to one or more accounts from this list.

Standard Account Categories for Mission Organizations

Type	Examples
Income	Tithes & Offerings, Designated Donations, Grants, Fundraising Income, Interest
Expense	Personnel, Facilities, Ministry & Programmes, Administration, Travel, Outreach
Asset	Bank Accounts, Petty Cash, Receivables, Equipment
Liability	Accounts Payable, Loans, Deferred Income
Net Assets	Unrestricted, Temporarily Restricted, Permanently Restricted

Categories in Practice

Your categories should reflect the questions your leadership asks.

Design your chart of accounts around the decisions that need to be made. If your pastor asks "How much did we spend on outreach?" — you need an Outreach category. If your board asks "How much has come in as building fund donations?" — you need a Building Fund income category.

Account Numbering

Range	Account Type
1000–1999	Assets
2000–2999	Liabilities
3000–3999	Net Assets / Equity
4000–4999	Income
5000–5999	Expenses

The Consistency Principle

Once you set up your chart of accounts, **use it consistently**. One of the most important accounting principles is consistency — applying the same methods and classifications from period to period. This allows you to compare periods, spot trends, and produce reports your board can trust.

What Clariva Does With This

In Clariva, every inflow and outflow is assigned to a **category**. Categories are your chart of accounts in action. Reports automatically group by category, giving you income by source and expenses by type at a glance.

Practical tip: *Before setting up Clariva, list the questions your leadership asks most often about money. Then design your categories to answer those questions automatically.*

Module 4

RECORDING EVERY TRANSACTION

The Complete Record

An accounting record is only as good as its completeness. One unrecorded transaction can throw off your bank reconciliation. One missing receipt can undermine an entire audit. One undocumented payment can look like misappropriation — even when it wasn't.

Every financial transaction must be recorded. Every record must be supported by a source document.

Source Documents

A **source document** is the original evidence that a transaction took place. The accounting principle of **verifiability** requires that any transaction can be traced back to its source document.

Transaction Type	Source Document
Donation received	Giving slip, bank deposit slip, transfer confirmation
Bill paid	Invoice, receipt, supplier statement
Salary paid	Payroll record, signed payslip
Petty cash spent	Petty cash voucher, receipt
Bank transfer	Bank statement, transfer confirmation
Grant received	Grant agreement, payment advice

The Journal Entry

In traditional bookkeeping, every transaction is recorded in a **journal** — a chronological log of all financial activity. Each entry includes the date, accounts affected (debit and credit), amounts, description, and source document reference.

Date	Account	Debit	Credit	Description
2026-06-15	Bank — Main Account	₦180,000		Sunday offering deposit
2026-06-15	Tithes & Offerings Income		₦180,000	Sunday offering deposit

In Clariva, you do not write journal entries manually — the system creates them as you record transactions. Understanding the structure helps you know what the system is doing.

Bank Reconciliation

Bank reconciliation is the process of comparing your internal records to your bank statement to ensure they match. It catches recording errors, detects unauthorized transactions, and confirms outstanding items have cleared.

The Reconciliation Process

1. Obtain your bank statement for the period
2. Compare each entry to your internal records
3. Identify and explain differences: outstanding deposits, outstanding payments, bank charges, errors
4. After all differences are accounted for, adjusted book balance = adjusted bank balance

The **materiality principle** applies: even small discrepancies should be investigated. A ₦500 difference today can signal a ₦50,000 problem tomorrow.

The Import Pipeline

The most efficient way to record transactions is to **import directly from bank statements** rather than entering each transaction manually. This eliminates transcription errors, ensures completeness, and creates a direct link between your books and your bank.

What Clariva Does With This

Clariva's import pipeline: **Import** — upload your bank statement; **Review** — classify each transaction; **Receipts** — attach images directly to any transaction; **Reconciliation** — Clariva tracks your running balance and flags discrepancies.

"Every transaction. In one place. In minutes." — Clariva

Module 5

DESIGNATED FUNDS AND DONOR TRUST

The Most Sacred Obligation in Nonprofit Finance

When a donor gives to a specific cause — a building project, a mission trip, a scholarship fund, a children's programme — they are not making a general contribution. They are placing a specific trust in you.

Designated giving must be used for its stated purpose. This is not just an ethical standard — it is a legal obligation in most jurisdictions.

Fund accounting — the practice of tracking designated money separately — is the accounting discipline built to prevent misuse.

Fund Accounting

Fund accounting is used by nonprofits, churches, and government entities to account for money restricted to a specific purpose. Unlike commercial accounting (which measures profit), fund accounting's goal is demonstrating that money was used as intended.

Types of Funds

Fund Type	Description	Examples
Unrestricted	Used for any purpose consistent with mission	General offerings, undesignated donations
Temporarily Restricted	Must be used for a specific purpose or period	Building fund, mission trips, project grants
Permanently Restricted	Must be held indefinitely; only income may be spent	Endowments, permanent memorials

Standards are set by **IFRS for SMEs** and, for US organizations, **FASB ASC 958**. The principle is universal: track restricted money separately.

Example: Building Fund Ledger

Date	Description	In	Out	Balance
Jan 1	Opening balance			¥ 0
Jan 15	Member donation — Building	¥500,000		¥500,000
Feb 3	Member donation — Building	¥200,000		¥700,000
Mar 10	Architect fees — phase 1		¥250,000	¥450,000
Mar 31	Closing balance			¥450,000

Budget Allocations

A **budget** is a financial plan — a commitment made in advance about how money will be received and spent. Budgets serve planning, control, accountability, and communication functions.

Budget vs. Actual Report

Category	Budget	Actual	Variance
Tithes & Offerings	¥1,200,000	¥1,050,000	¥ 150,000 (–12.5%)
Staff Salaries	¥600,000	¥600,000	¥0
Building Maintenance	¥100,000	¥143,000	¥ 43,000 (–43%)
Outreach Ministry	¥150,000	¥88,000	+¥62,000 (+41%)

What Clariva Does With This

Allocation Configs — automatically distribute incoming funds across designated purposes. **Designated Savings** — track each fund with its own running balance. **Fund Transfers** — record movements between accounts without distorting income/expense reports. **Budget Centre** — set budgets and track actuals in real time.

"Honour every designation." — Clariva Fund Centre

Module 6

READING YOUR NUMBERS

Financial Reports Are Not Just for Accountants

Financial reports are the story of your organization told in numbers. A leader who cannot read that story is flying partially blind — making decisions about staff, programmes, and future plans without the full picture.

1. The Income and Expenditure Statement

Also called: Income Statement, Statement of Activities, Profit & Loss

This statement answers: **"What came in and what went out over a period of time?"**

January 2026	
INCOME	
Tithes & Offerings	₦1,050,000
Building Fund Donations	₦200,000
Grant Received	₦500,000
Total Income	₦1,750,000
EXPENSES	
Staff Salaries	₦600,000
Building Maintenance	₦143,000
Outreach Ministry	₦88,000
Administration	₦45,000
Total Expenses	₦876,000
Net Surplus	₦874,000

2. The Balance Sheet (Statement of Financial Position)

This statement answers: **"What does the organization own and owe at a specific point in time?"** Unlike the income statement (which covers a period), the balance sheet is a snapshot on a specific date.

ASSETS	As at 31 Jan 2026
Bank — Main Account	¥1,200,000
Bank — Building Fund Account	¥450,000
Petty Cash	¥25,000
Total Assets	¥1,675,000
LIABILITIES	
Supplier Invoice Unpaid	¥80,000
Total Liabilities	¥80,000
NET ASSETS	
Unrestricted Net Assets	¥1,145,000
Restricted — Building Fund	¥450,000
Total Net Assets	¥1,595,000
Total Liabilities + Net Assets	¥1,675,000

The accounting equation holds: Assets (¥1,675,000) = Liabilities (¥80,000) + Net Assets (¥1,595,000).

3. The Cash Flow Statement

This statement answers: **"Where did our cash come from and where did it go?"** Even a surplus-generating organization can run out of cash if income arrives later than expenses are due. For most small organizations on cash basis, the income statement closely mirrors cash flow.

Key Financial Indicators

- **Cash runway** — Total Cash ÷ Monthly Operating Expenses. Target: minimum 3 months.
- **Income concentration** — percentage from one source. High concentration (>50%) = high risk.

- **Expense ratio** — what percentage goes to personnel, programmes, administration?
- **Year-over-year growth** — is income growing at pace with expenses?

The Principle of Disclosure

The **disclosure principle** requires that any information that could affect a reader's interpretation of the financial statements should be disclosed — fund restrictions, contingent liabilities, unusual transactions, related-party payments. Transparency is not a vulnerability — it is the foundation of donor trust.

What Clariva Does With This

Clariva's Reports module generates: Income & Expenditure reports by category and period, bank balances summary, budget vs. actual tracking, and fund-level reports. Reports are designed to be readable by non-accountants — your board, deacons, trustees, and donors.

"Financial reports your board will actually understand." — Clariva

Module 7

YOUR FINANCIAL TEAM

Accountability Is Not Distrust — It Is Wisdom

One of the most common mistakes in mission organization finance is concentrating all financial responsibility in one person. Good financial governance is not about distrust. It is about protecting everyone — the organization, the donors, the leadership, and the person handling the money.

The Principle of Segregation of Duties

No single person should have complete control over any financial transaction from beginning to end.

Function	What it involves	Should NOT be same person as
Authorization	Approving payments	Recording, Custody
Recording	Entering transactions	Authorization, Custody
Custody	Physical control of cash	Recording, Authorization
Reconciliation	Checking records vs. bank	Recording

Practical example: The treasurer records and reconciles. A board member authorizes large payments. The offering is counted by two people together. The board reviews reports monthly.

Roles in a Financial Team

- **Treasurer / Finance Manager** — day-to-day records, reports, bank reconciliation
- **Finance Committee / Board** — budget approval, expenditure oversight, report review
- **Authorizing Officers** — sign off on payments above agreed thresholds
- **Auditor** — independent review, provides assurance to board and donors

Access Control

In a well-structured system: **Administrators** configure and manage users. **Finance staff** record and edit transactions. **Viewers** see reports but cannot change records. **External auditors** have read-only access for a specified period. Every action is traceable to the right person.

The Audit Trail

An **audit trail** is a chronological record of every action taken in a financial system — who did what, to which record, and when. It enables fraud detection, error correction, accountability, and compliance. Even small changes should be logged.

Financial Governance Policies

Every organization should have written policies covering: spending authorization levels (who approves what threshold), petty cash management, bank account signatories, expense reimbursement requirements, and asset disposal procedures. These policies, combined with proper records, allow an organization to demonstrate demonstrably that money is handled with integrity.

What Clariva Does With This

Role-based access — each team member sees and does only what their role permits. **Audit log** — every change is logged automatically; the trail cannot be deleted. **Field-level change history** — when a transaction is edited, the previous value is recorded alongside the new one. **Multi-user collaboration** — financial management becomes a team activity, not one person's burden.

"Prove the integrity." — Clariva Audit & Trust Centre

What You Now Know

Over these seven modules, you have covered the core foundations of financial stewardship — from why records matter to how to build a team that makes integrity structural. These are not abstract principles. They are the practical disciplines that allow your organization to hold money with integrity, to be a faithful steward of what has been entrusted to you.

Your next step: put it into practice with Clariva.

"Financial stewardship for the organizations that matter most."